

THE LONG BOOM

As the world's most populous nation, India's consumer market is expected to see a surge in growth

Household incomes are expected to rise with top, upper-middle and middle-income cohorts set to see a big surge

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By 2030, 40% of Indians will reside in cities and 53% will be in the 15-49 age group

The government's recent tax cuts are also expected to boost consumption

population will be in the 15-49 age group; for China, it will be 44%.

Another key trend is increased access to information through smartphones and better internet access. This has sparked a shift in preference for better quality products from established brands. "Growth will come from premiumisation and new category adoption. This will be more pronounced in the top 100 cities," says a Nestlé India spokesperson.

Challenges remain, of course. Steep inflation in recent years, stagnating growth in real incomes and rising youth unemployment have combined to dent consumption in both rural and urban markets. As consumers cut down on spending, sales of all consumer goods categories have faced speed bumps in recent quarters. From 7.5% year-on-year (YoY) growth in urban FMCG offtake in the December 2023 quarter, sales growth plummeted to 1.9% in the June 2024 quarter, only to recover to 5% in the December quarter, data from market research firm NielsenIQ shows.

The rural market, which accounts for 36% FMCG demand and has seen muted growth in recent years, offered some hope as it saw a slight recovery in demand, albeit on a low base. In the December 2024 quarter, it posted 9.9% YoY growth. In fact, the relatively poor show in urban areas has resulted in the rural market growing faster than urban since March 2024.

Signs of stress are also visible in the Indian smartphone market, once the fastest-growing in the world. Sales have been tepid in recent quarters. Smartphone shipments in India grew 4.1% in 2024, as per market intelligence firm IDC. In fact, the market shrank 3% in the festive quarter (October-December), usually a strong period for sales. Vendors and channel partners continued to cut prices,

offer discounts and extended device warranties in the post-festive period to address the slide, as per IDC analysts.

Of course, the concerns may be short-lived if the income tax cut for individuals earning up to ₹12 lakh delivers the desired consumption push. "With policies in the Union Budget FY26, we anticipate middle-class consumption to surge, driven by increasing disposable incomes, job creation, urbanisation, and digital adoption," says Gupta. In the next few years, this is expected to drive consumer spending with a sizeable portion going towards essential categories like food, beverages, apparel, and personal care, he says.

The tax boost aside, the country needs to improve job creation and address the scarcity of skilled workers. According to Madhavi Arora, Chief Economist at Emkay Global Financial Services, while youth unemployment is hurting household income growth, the bigger issue is the dearth of skilled workers. "Employers are unable to find suitable candidates for the job profile on offer. There is a clear mismatch between skill sets required and available human capital," she says.

These are temporary blips in the country's long-term growth story, say industry leaders. Jawa is optimistic about the potential of India's young population. "Job creation and income growth are critical, and strategic investments in education, skill development, and infrastructure will unlock the demographic dividend," he says.

There will be opportunities aplenty in the world's most populous country and businesses that cater to both urban and rural consumers will thrive. **BT**

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